



Third Eye Insights: Market Trends

GCC Market Expansion

■ Region: Global



Tervinderjit (TJ) Singh
GCC, SSO, COE, Offshore Services

Overview

Companies considering Global Capability Center (GCC) operations in India or other global locations must evaluate key factors such as talent availability, skills, process innovation, and cost benefits when planning their strategy. Establishing an offshore GCC requires a pragmatic approach, emphasizing strong management capabilities, compliance, governance structures, and a global work culture. GCCs must compete not only with peer organizations but also with third-party service providers.

GCCs typically operate across multiple technology and process domains. Organizations should set realistic expectations regarding process efficiencies and cost improvements, particularly in specialized areas such as customer experience (CX), procurement (direct/indirect), and finance & accounting.

This report evaluates GCC market growth, opportunities, key drivers, and trends through 2030.

Key Insights

- GCCs are set to expand across Asia, driven by access to talent, technology, and business opportunities through 2030.
- A GCC strategy should be designed not just for cost savings but also to enable global business expansion into emerging markets like Asia.
- Over the next 12–24 months, key business and IT decisions will increasingly shift to GCCs, with over 80% of decision-makers operating within the GCC ecosystem.
- Not all GCCs operate at the same maturity level. Failure rates are expected to double in the next 12–18 months due to unrealistic board expectations.
- By 2028, third-party IT and IT-enabled service (ITES/BPS) providers will generate or influence over 50% of their revenue through GCC partnerships.

Market Opportunity for GCCs

The combined GCC, Shared Services Organization (SSO), and Centers of Excellence (COE) market is projected to grow from \$618 billion in 2025 to \$786.5 billion in 2030, representing a 21% CAGR. This growth rate is over four times the global GDP growth, making it the fastest-growing segment within IT and ITES.

Organizations will continue to develop and expand IT and ITES (BPS) capabilities through GCCs in key locations to optimize costs while maintaining high service quality and security.

Third Eye Predictions

- By 2027, 80% of AI, automation, analytics, and next-gen technology decisions (proof-of-concept or implementation) will be made through GCCs.
- By 2028, GCCs will evolve into Global Capability Networks (GCNs), with India accounting for 70% of this market.
- By 2030, the GCC market will surpass \$786 billion, growing at a compound annual growth rate (CAGR) of 21%.

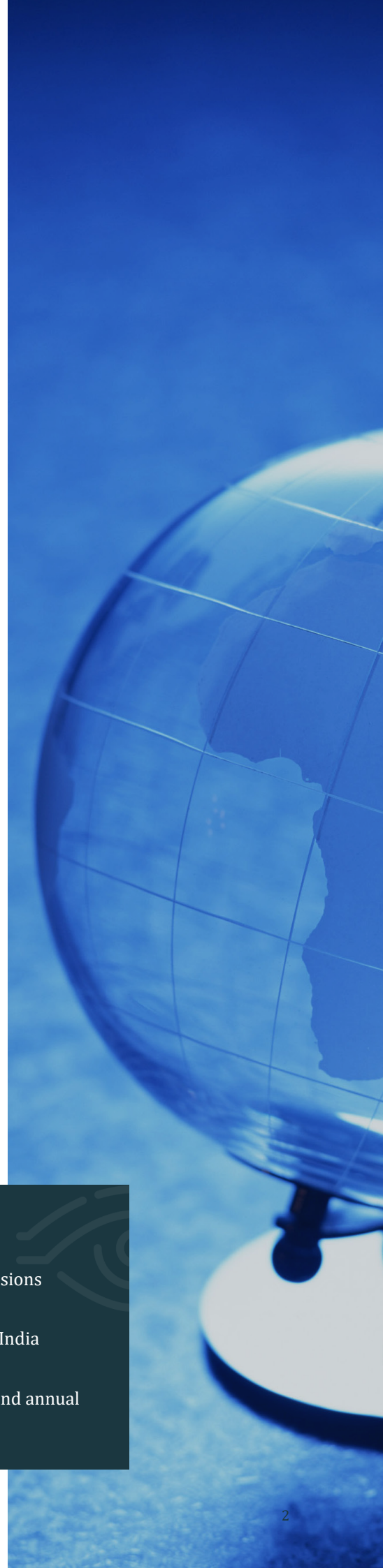
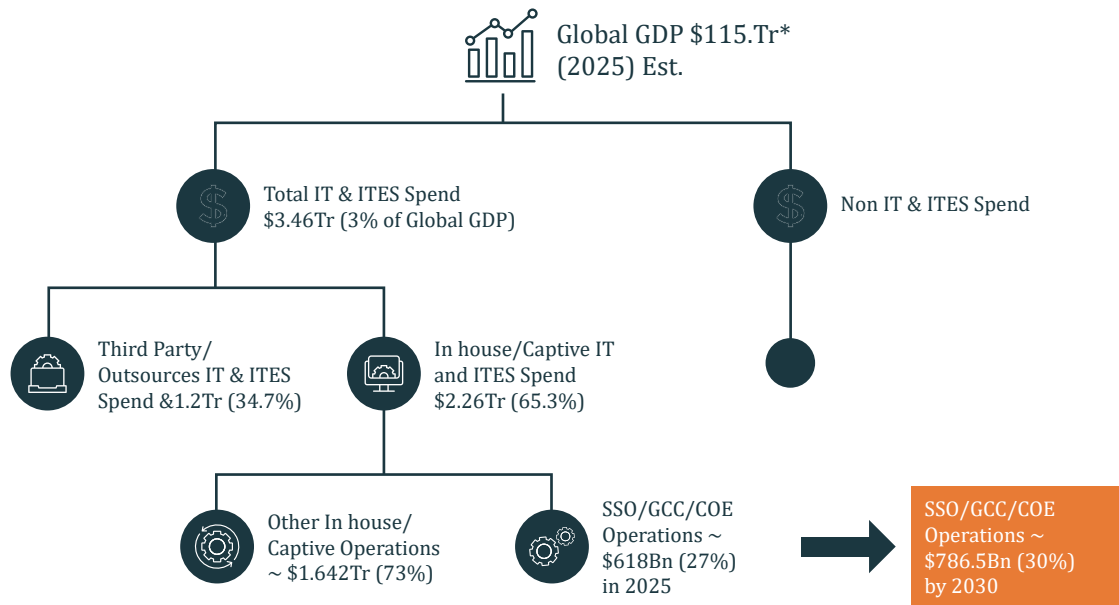


Figure1: The composition of GCC

Market Opportunity for GCC: 2025 to 2030 (CAGR 21%)



* Source: IMF, World Economic Outlook (Oct 2024)

GCC Growth Drivers

- **Talent Shortage:** A growing skills gap across multiple industries, including process and technology roles.
- **Technology Adoption:** Rapid advancements in AI, automation, and digital transformation.
- **Speed to Market:** Increasing pressure from C-level executives to deploy solutions faster.
- **Cost Optimization:** Businesses seek cost-efficient solutions without compromising quality.
- **Governance & Decision-Making:** Enhanced management structures improve GCC efficiency and alignment with business objectives.

Market Trends: GCCs Driving Business Transformation

GCCs have established a strong presence in India, the Philippines, Malaysia, Poland, and Latin America. The traditional “lift and shift” model, which prioritized labor cost savings, is evolving into a value-driven approach focused on talent access, scalability, and global reach.

Today, GCCs are transforming into sophisticated delivery centers that contribute directly to business innovation. Many, especially those operating in India, leverage their deep process knowledge and talent to drive operational enhancements and strategic improvements. This shift is particularly evident in industries like financial services, where GCCs are actively shaping back-office functions.

The growing need for agility, efficiency, ROI focus, and risk management is pushing GCCs to evolve from “cost centers” into “value centers.” As businesses adopt more differentiated strategies through technology, GCCs must decide between in-house development and third-party collaborations. This shift adds complexity, requiring GCCs to adopt best practices in sourcing, governance, and partner management.

Mergers and acquisitions (M&A) will also play a critical role in the GCC landscape through 2030, with a peak in 2028. The demand for GCC “carve-outs” by third-party service providers and private equity firms is set to rise as investors seek value-driven acquisitions.

The long-term success of GCCs will depend on their ability to invest in future capabilities, particularly in digital services, AI, analytics, and automation. To thrive, GCCs must transition from being service integrators to orchestrators of value-driven ecosystems.



Key GCC Organizations to Watch

- **HSBC:** A leader in the BFSI GCC sector with technology centers in India (e.g., Pune), developing AI-driven banking solutions.
- **RTX Corp (Raytheon Technologies):** A significant aerospace and defense player, expanding GCC operations in India, with a 14% workforce increase planned over three years.
- **SCOPE (Standard Chartered Bank):** A major BFSI GCC with operations across India, Malaysia, and Singapore.
- **Novo Nordisk:** A pharmaceutical leader with extensive GCC operations in Bengaluru, driving global healthcare innovation.
- **Adidas:** A global retail giant leveraging GCCs in India to optimize supply chain operations, enhance e-commerce, and improve customer experience.

For a detailed assessment of these companies, please contact Third Eye Advisory (TEIA).

GCC's to Watch

Key GCC organizations to watch market include, but are not limited to, the following companies (listed in no particular order):

- **HSBC** — A pioneer in the BFSI GCC sector with centers across Asia. HSBC's technology center in India (Pune) plays an important role in developing AI-driven banking solutions that help the company streamline its global operations
- **RTX Corp** – The company is a key industry player in the aerospace and defence industry. RTX Corp (formerly Raytheon Technologies) continue to expand their GCCs in India. RTX plans to increase its workforce by 14% over the next three years, highlighting India's growing importance in aerospace engineering and innovation ecosystem.
- **SCOPE** — A key BFSI GCC supporting global IT and ITES services for Standard Chartered Bank. SCOPE has operations across multiple Asian countries such as India, Malaysia and Singapore.
- **Novo Nordisk** – A pharmaceutical giants, Novo Nordisk have established extensive GCC operations in India. The Novo Nordisk's Bengaluru center, for example, manages vast amounts of data on drug safety and efficacy, delivering significant global healthcare innovation. This is one of the largest GCC's in the pharmaceutical and healthcare sector.
- **Adidas** – A global retail brand with GCC operations in India. Adidas leverage their GCCs to enhance supply chain efficiency, drive e-commerce innovation, and improve customer experience (CX). The centers is an integral part or the organization in adapting to digital transformations within the retail sector.

For a detailed assessment of these companies, please reach out to TEIA



Scan to explore more on our website!